Compliance Framework

The Legal Architecture of IRC §125

WIMPER
REGULATORY BRIEFING

1. The Section 125 Umbrella

The mechanism operates under the strict guidelines of Internal Revenue Code Section 125 (Cafeteria Plans). This enables W-2 employees to reallocate portions of their wages on a pre-tax basis into qualified benefit accounts. Because these deductions occur *before* taxation, neither the employee nor the employer pays FICA (Social Security & Medicare) on that allocated income.

Key Statutory Provisions

§ 125

Cafeteria Plans Construct

Employees receive a choice between cash and qualified, non-taxable benefits. Pre-tax premium payments establish the required reduction in taxable gross payroll.

§ 105

Amounts Received Under Accident and Health Plans

Guarantees that amounts paid by an employer to reimburse an employee for medical care (like Manhattan Life or Revive components) are not included in gross income.

§ 213

Medical, Dental, & Healthcare Expenses

Deals with the definition of preventative care and the deductibility of associated costs out-of-pocket, solidifying the pre-tax nature of the health policy.

2. The Audit-Tested Provider Structure

WIMPER is not an untested theory—it is an established architecture assembled by recognized giants. The medical stop-loss and gap structures are backed by Manhattan Life (an A-Rated insurance conglomerate). The overarching mechanism complies meticulously with ERISA (Employee Retirement Income Security Act) regulations, requiring annual plan documentations, summary plan descriptions (SPDs), and non-discrimination testing to ensure 100% federal audit compliance.

Disclaimer: All implementations are reviewed and administered by third-party ERISA attorneys. Employers are provided safe harbor documentation. WIMPER acts strictly as the architectural facilitator.